

Bank of Baroda (BANKBARODA)

Sector: Financials

ROE

15.8%

ROCE

2.7%

D/E

12.14x

OPM

37.5%

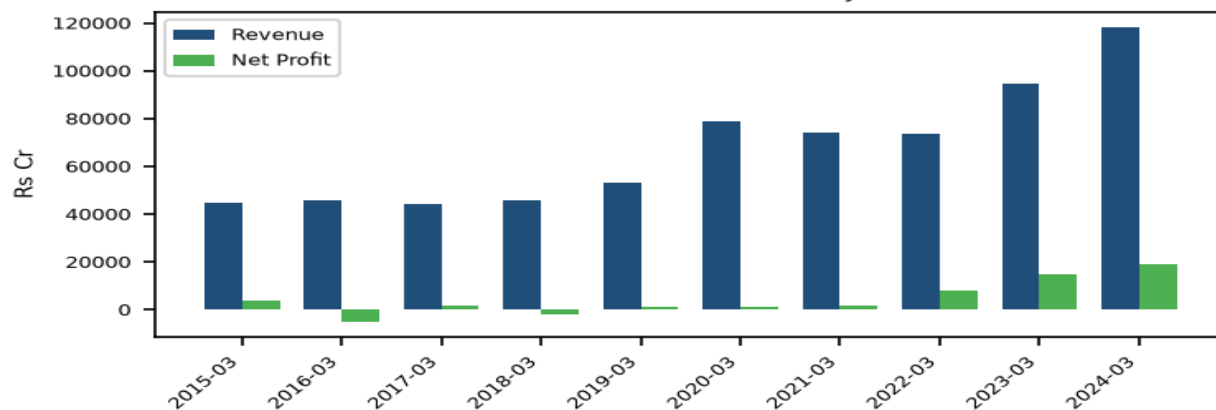
Revenue CAGR 5yr

17.5%

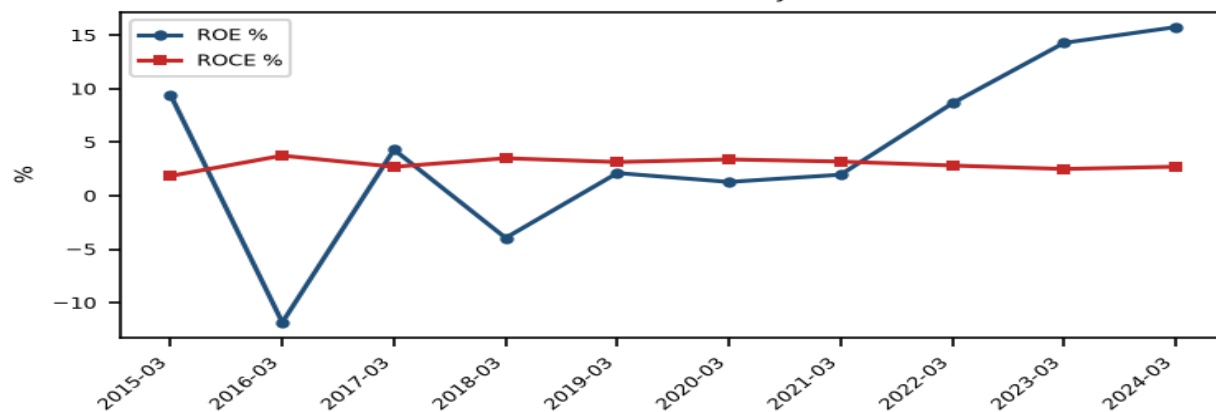
Free Cash Flow

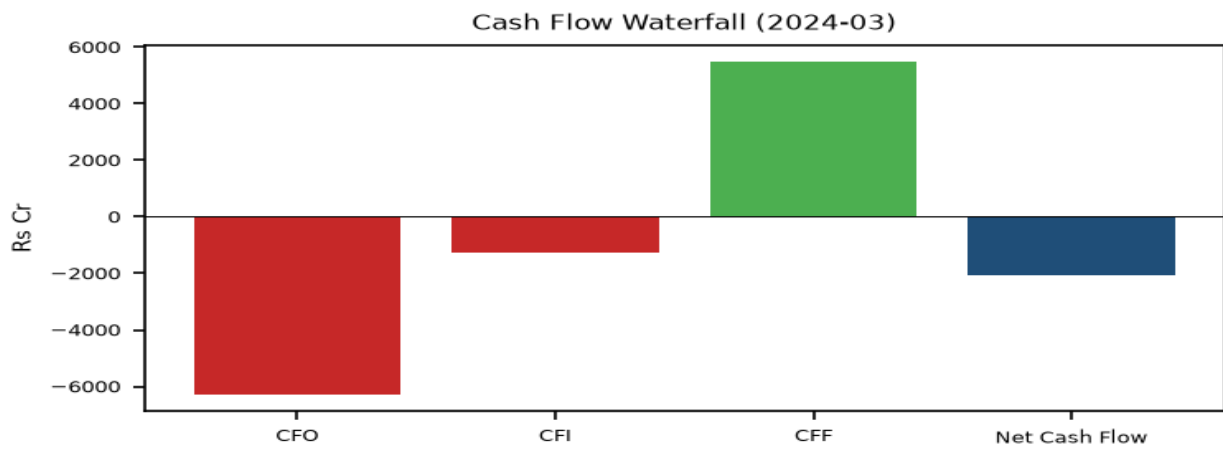
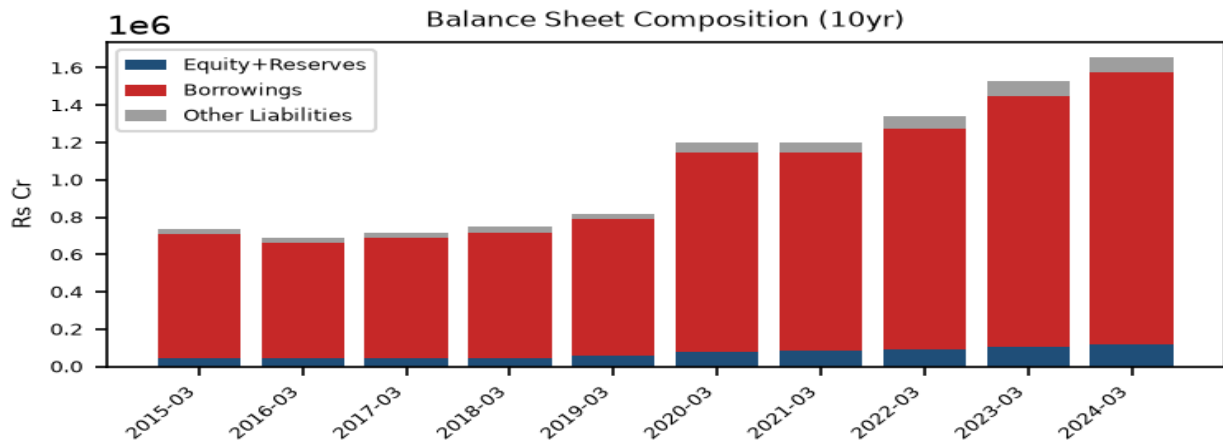
Rs -7,559 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt